

BTC MA Strategy — Specification Questionnaire

Purpose: turn the manually-traded setup into an exact, testable specification.

Fill every field. Where a rule doesn't exist ("we eyeball it"), write

DISCRETIONARY — do not invent a rule that wasn't used. Honest

"discretionary" answers are more valuable than tidy fake rules: they tell us

what can be automated and what can't.

Companion file: `trade_log_template.csv` — the historical trade log schema.

Both go back to the analyst (Claude) for audit → formalization → replay

backtest → verdict.

1. Instrument & venue

- 1.1 Exact instrument traded (BTC spot? perpetual futures? which pair):
- 1.2 Venue(s) and account type:
- 1.3 Leverage used (range, typical):
- 1.4 Typical position size (\$ or % of trading capital):
- 1.5 Fee tier actually paid (maker/taker, bps) + typical funding paid if perps:
- 1.6 Hours traded (24/7? specific sessions? alerts-driven?):

2. Charts & indicators (exact definitions)

- 2.1 MA type per use: SMA / EMA / other (specify per length if mixed):
- 2.2 The full MA set — for EACH timeframe (1h / 4h / 12h / 1d / 1w), list the exact lengths used (e.g., 1h: EMA21, EMA50; 4h: EMA200; 1d: SMA50, SMA200; 1w: SMA20):
- 2.3 Which chart timeframe is the EXECUTION chart (where entries are pulled the trigger on)?
- 2.4 Are higher-timeframe MAs drawn on the execution chart, or checked on their own charts?
- 2.5 Any non-MA indicators involved (RSI, volume, VWAP, funding, OI...)? Exact settings and role (filter? trigger? confirmation?):
- 2.6 Candle basis: close-of-candle decisions or intra-candle (wick touches)?

3. Setup taxonomy

List every DISTINCT setup you trade. Copy the block per setup. Name them — these names must match the `setup_type` column in the trade log.

For each setup:

- 3.1 Name (e.g., "4h-200EMA bounce", "1d-50MA breakout-retest"):
- 3.2 Direction (long / short / both):
- 3.3 Trigger — the exact condition that makes it a valid entry (touch within X% of the MA? candle close back above? N-candle confirmation? wick rejection shape?):
- 3.4 Confluence requirements — what ELSE must be true (e.g., "only long if price > 1d 200MA", "weekly MA rising", "RSI not overbought"):
- 3.5 Invalidations — what kills the setup before entry:
- 3.6 How often does this setup appear (per week/month, roughly):
- 3.7 Team's belief about when it works vs fails (trend vs chop, etc.):

4. Entry mechanics

- 4.1 Order type (limit resting at the MA? market after confirmation? stop order above breakout level?):
- 4.2 Entry price rule (at MA? at candle close? at retest of level?):
- 4.3 Scaling in (all at once / tranches — exact rule):
- 4.4 Max concurrent positions / max total exposure:

5. Exit mechanics

- 5.1 Initial stop placement — exact rule (X% below MA? below swing low? ATR-based? fixed \$):
- 5.2 Profit target — exact rule (next MA up? fixed R multiple? fixed %? prior high?):
- 5.3 Trailing rule if any (trail behind which MA/structure, updated when?):
- 5.4 Partial exits (levels, fractions):
- 5.5 Time stop (exit after N hours/candles if nothing happens?):
- 5.6 Manual overrides — under what circumstances does the team exit outside the rules? (news, feel, drawdown). Estimate what fraction of exits were overrides: ____%

6. Risk & sizing

- 6.1 Risk per trade (% of capital at stop):
- 6.2 Sizing formula (fixed \$, fixed risk, conviction-scaled — exact):

- 6.3 Daily/weekly loss limits and what happens at the limit:
- 6.4 Correlation rule (do you reduce size when several setups fire at once?):

7. Discretion audit — the most important section

- 7.1 Of 10 typical entries, how many followed the written rules exactly vs involved judgment (chart context, "looks weak", news)? ____/10
- 7.2 What information does the trader use that is NOT in sections 2–5 (order-book, funding, Twitter/news, session time, "feel")? List all:
- 7.3 Are there setups that LOOK valid by the rules that the team routinely skips? What distinguishes the skipped ones?
- 7.4 Who traded it (one person or several)? Did results differ by person?
- 7.5 Was the approach ever changed mid-history (new rules, new MA set, post-loss adjustments)? Date the changes.

8. Track record context

- 8.1 Period traded (start date → end date, any gaps and why):
- 8.2 Starting and current trading capital (for the log's PnL to be checked against — account statements or exchange export strongly preferred over hand-kept logs):
- 8.3 Are ALL trades in the log — including losers, fat-fingers, and abandoned experiments? (Survivorship in the log is the #1 reason manual records don't replicate.)
- 8.4 Rough self-assessment: net P&L over the period, worst drawdown, and the single worst losing streak.

What happens with this

1. **Audit** — trade-log statistics: expectancy, R-distribution, win rate by setup/timeframe/regime, fee+funding drag, comparison vs buy-and-hold over the same period, and consistency checks against account statements.
2. **Formalization** — sections 2–6 become code; section 7 tells us which trades the code should and shouldn't reproduce.
3. **Replay** — the coded rules run on historical hourly/4h data over the same period; its trades are matched against the log. High match + positive expectancy = automatable edge. Low match = the edge (if any) is the

trader's discretion, not the rules — different conclusion, still useful.

4. **Verdict** — automate (with venue/sizing plan), keep manual (with better logging), or retire, based on what the data supports.

Appendix — Trade Log Columns (trade_log_template.csv)

Column	Meaning
trade_id	sequential id
entry_time_utc	ISO timestamp, UTC, minute precision
exit_time_utc	ISO timestamp, UTC
instrument	e.g. BTC-PERP / BTC-USD spot
venue	exchange
direction	long / short
setup_type	must match a name from Section 3
signal_timeframe	1h/4h/12h/1d/1w
ma_type	SMA / EMA
ma_length	e.g. 200
entry_price	fill price
size_btc	position size in BTC
size_usd	position size in USD at entry
leverage	x
stop_initial	initial stop price
target_initial	initial target price (blank if none)
exit_price	final exit fill
exit_reason	target_hit / stop_hit / trail / time_stop / manual_override
fees_usd	total trading fees
funding_usd	net funding paid (perps)
pnl_gross_usd	before costs
pnl_net_usd	after fees+funding
max_favorable_pct	best unrealized % during trade (if known)
max_adverse_pct	worst unrealized % during trade (if known)
discretionary_flag	yes/no — deviated from written rules?
rule_deviation_note	what was deviated and why
chart_screenshot_link	optional

notes	free text
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